

Zenta Group Company Limited (NASDAQ: ZTG) — Forensic Short Report

Nine Employees, Four Customers, One Supplier — And A +350% Melt-Up The Company Itself Couldn't Explain

NOT RATED — RESEARCH CASE STUDY · AUGUST 26, 2026

Key Fact	Detail
Report	Forensic Short — Research Case Study
Publication date	August 26, 2026
Issuer	Zenta Group Company Limited
Ticker	NASDAQ: ZTG (ZGM until April 14, 2026)
Domicile	Cayman Islands (operations: Macau; ~96% of revenue from PRC-named customers)
Reference price	~US\$1.02 (August 25, 2026 close)
52-week range	US\$0.75 – US\$12.25 (both set within the last 9 trading days)
IPO	September 9, 2025 at US\$4.00 (Cathay Securities, Inc., sole underwriter)
Estimated market cap	~US\$12.0M (11,808,839 shares)
Industry (per filings)	Management consulting / "fintech" (SIC 8742)
Headcount	9 full-time employees (FY2025 20-F)
Rating	NOT RATED — retrospective case study; see "Why This Is Not Rated"
SEC CIK	2011458

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Executive Summary

Zenta Group Company Limited is a Cayman Islands holding company for a nine-employee Macau consulting business (one leased office, three operating subsidiaries acquired as dormant shells for ~US\$12,500 each) that listed on the Nasdaq Capital Market on September 9, 2025 at US\$4.00 per share — a ~US\$47M valuation on ~US\$1.0M of net income. Eleven months later, in August 2026, the stock rose ~350% in ten sessions to an all-time high of US\$12.25 on **no disclosed news** — the company filed a "no news" 6-K on August 7, 2026 stating it was aware of no undisclosed material information — and then collapsed ~92% in six sessions to an intraday low of US\$0.75. It closed August 25 at US\$1.02.

In our view, the public record forms a coherent pattern:

1. **The business is a point, not a company.** Nine employees; revenue of US\$3.16M (FY2025) of which 95.6% is "algorithm and big data" fintech fees launched from zero in January 2024; **four customers = 96% of revenue and 100% of receivables** (FY2025 20-F concentration note); one supplier ("Guo Yan Innovation Technology (Macau) Co. Ltd.") behind the entire product line. The prospectus states the fintech business began as an intermediary **reselling that sole supplier's products for commission**, and the exhibit index shows the client agreements (January 15, 2024) predate the supplier agreements (February 26, 2024) by six weeks.
2. **~5.75% of pre-IPO equity was promised to unnamed "consultants" on the eve of the IPO.** Agreements of June 24 and July 2, 2024 obligated the controlling vehicle to transfer 4% + 1% of post-offering share capital (~579,800 shares; ~US\$2.3M at the IPO price) to a "Consultant" and a "Consulting Company" — for services described as helping "generally guide" the shareholder

vehicle — at least one day before effectiveness. The recipients are never named in any filing; no Schedule 13D/G or Form 3 from them exists.

3. **~90% of IPO net proceeds left within ~25 days of effectiveness.** The FY2025 20-F states US\$3.87M of the ~US\$4.28M net proceeds was used between September 5 and September 30, 2025. Over the same fiscal year, prepaid expenses went from **US\$7,145 to US\$3,856,570** — "prepaid marketing expenses, consultancy fees, and professional fees paid upfront under contracts with terms generally ranging from one to five years," counterparties unnamed — and a "good-faith deposit" to **ZentoAI Company Limited, an entity controlled by CEO Ng Wai Ian**, appeared at US\$706,694, growing to **US\$1,020,850** by March 31, 2026 for an unnamed acquisition target. Cash at March 31, 2026: **US\$159,299**.
4. **The gatekeepers and structure moved fast after listing:** the IPO auditor (WWC, P.C., California) was **dismissed six weeks after the IPO closed** and replaced with a Malaysia-based firm (WSJ & Partners), with no reason stated and no disagreements claimed; a December 19, 2025 EGM raised authorized capital from 50M to **1.02 billion shares**, converted the CEO-and-affiliate block of 6,367,680 shares into **Class B stock at 50 votes per share** (~98.3% of aggregate votes on ~54% of the economics), and **pre-authorized a reverse split of 2:1 up to 20:1** at the board's sole discretion, valid for five years; the ticker was changed from ZGM to ZTG in April 2026 with no stated reason; insider Forms 3 were filed only in March 2026, six-plus months late.
5. **The financials show income without cash.** FY2025: net income US\$1.0M against **operating cash flow of –US\$3.66M**. H1 FY2026 (six months to March 31, 2026, filed August 14, 2026): revenue –**40.4%** to US\$1.15M, a **net loss of US\$777,940**, and professional fees alone consuming 91% of revenue. The same interim filing restates a December 2025 intangible-upgrade contract at **US\$701,835** that the 20-F seven months earlier had described as **US\$192,735** — a 3.7× difference with no reconciliation.

We did **not** find: any litigation, SEC enforcement, Nasdaq deficiency notice, going-concern language, pre-IPO dividend extraction, insider selling into the IPO (the offering was 100% primary), or direct evidence of a coordinated promotion campaign. Those absences are stated in the relevant sections and materially temper the thesis. This is a pattern case, not a smoking-gun case.

The Thesis

In our view, ZTG at its August 12, 2026 high represented a ~US\$145M valuation placed on a business with:

- nine employees in one Macau office, total FY2025 compensation of US\$285,067;
- US\$3.16M of revenue from four customers, sourced through one supplier, 96% denominated in CNY;

- US\$159,299 of cash at the last reported balance-sheet date, against a US\$1.14M half-year operating outflow;
- a first-half swing to a net loss and revenue down 40%.

The -92% collapse into August 21 largely closed that gap. What remains forward-looking is the structural setup: a stock that has now closed below US\$1.00 (Aug 21: US\$0.95; Aug 24: US\$0.88), a five-year board-discretion reverse-split authorization already in hand, 1.02 billion authorized shares against 11.8M outstanding, a 50:1 dual-class structure that makes dilution costless to the controlling shareholder, ~US\$4.1M of prepaid contracts running to FY2030 with unnamed counterparties, a growing seven-figure deposit with a CEO-controlled entity for an unnamed acquisition, and an FPI disclosure regime that requires no further financials until the next annual report.

The IPO: Sixteen Months, Five Comment Letters, US\$4.28M Net

Offering mechanics (424B4, September 9, 2025, acc. 0001493152-25-012859; 6-Ks of September 11 and October 9, 2025):

Item	Amount
Total offering	1,500,000 shares @ US\$4.00 = US\$6.0M gross (100% primary; priced at bottom of US\$4–5 range)
Over-allotment	225,000 shares @ US\$4.00, exercised in full, closed October 8, 2025 (+US\$0.9M)
Net proceeds to company	~ US\$4.28M (7% discount + 1% non-accountable allowance + ~US\$1.24M expenses ≈ 21% of the base gross)
Underwriter	Cathay Securities, Inc. (sole; firm commitment; 12-month right of first refusal)
Registration	Confidential DRS May 2024 → 5 SEC comment letters → effective September 5, 2025
Post-IPO shares	11,808,839 (public float ~13%)

Stated use of proceeds: ~40% "developing our fintech business," ~20% regional growth, ~10% brand and team, balance working capital — with management retaining "significant flexibility and discretion."

The consultant shares. Prospectus footnotes disclose that on June 24 and July 2, 2024, Ione Group Company Limited (the CEO's 76%-owned vehicle, 53.04% pre-IPO holder) agreed to transfer **4% and 1% of the post-offering enlarged share capital** — together ~5.75% of pre-IPO shares, ~US\$2.3M at the IPO price — to an unnamed "Consultant" and "Consulting Company," at least one day before ef-

fectiveness, as compensation for services described as helping "generally guide Ione Group Company Limited." No filing names the recipients; no ownership filing from them exists on EDGAR. The insider lock-up covered directors, officers, and 5%+ holders for six months (waivable by the underwriter); sub-5% transferees are not stated to be locked up. We make no claim about what these holders did; we note only that the free-trading supply of a ~4M-share float is not fully accounted for by named parties.

Where The Money Went

All figures from the company's own FY2025 20-F (filed January 20, 2026) and H1 FY2026 interim 6-K (filed August 14, 2026).

Ninety percent in twenty-five days. Item 14.E of the 20-F: from effectiveness (September 5, 2025) to fiscal year-end (September 30, 2025), the company used "approximately US\$3.87 million" of the ~US\$4.28M net proceeds. The same 20-F states none of it went directly or indirectly to directors, officers, 10% holders, or affiliates.

The prepaid balloon. Prepaid expenses: US\$7,145 (9/30/2024) → **US\$3,856,570** (9/30/2025) → US\$4,136,815 (3/31/2026), majority non-current, described as prepaid marketing, consultancy, and professional fees "paid upfront under contracts with terms generally ranging from one to five years," amortizing to FY2030/31. The counterparties are not named anywhere in the filings. At March 31, 2026 the prepaid balance equalled ~3.6× half-year revenue and ~26× the company's cash.

The related-party deposit. A "good-faith deposit" paid to **ZentoAI Company Limited — controlled by CEO Ng Wai Ian** — "pursuant to the acquisition intention agreement for a target company" (unsecured, non-interest-bearing, refundable): US\$706,694 at 9/30/2025, **US\$1,020,850 at 3/31/2026**. The target is not named, no timeline is disclosed, and the August 14, 2026 subsequent-events note reports no update. The deposit is ~6.4× the company's entire cash balance on the same balance-sheet date. Separately, the H1 FY2025 cash-flow discussion describes US\$740,941 of investing outflows as "primarily reflecting financings provided to a related party."

The result. FY2025 net income US\$1.0M; FY2025 operating cash flow **–US\$3.66M**. Cash: US\$1.04M at 9/30/2025 → **US\$159,299 at 3/31/2026**. Management's liquidity language rests in part on "financial support from our related parties and major shareholders."

The Business: One Supplier, Four Customers, Six-Week-Early Contracts

Revenue pivoted overnight. FY2023: US\$863K of consulting/brokerage fees (top-5 customers 67%; two of the top five "controlled by a same shareholder," per the prospectus). The fintech line launched January 2024 and was 70.5% of revenue by FY2024 and **95.6% by FY2025**. Legacy lines (investment brokerage, project research) each ran 0–4 discrete projects per year and have gone to zero or near-zero.

The supplier. Per the prospectus: the fintech business operated by "supplying fintech products offered by our supplier, Guo Yan [Innovation Technology (Macau) Co. Ltd.]. We do not pay any fees to our supplier, and receive commission based on successful engagements." On August 5, 2024, the company then **bought "2 fintech platforms and 6 AI models" from that same sole supplier for US\$1,158,243**, initially booked as a payable — the 20-F calls the seller "a third-party vendor." The exhibit index shows the mirror pair: Client Agreements (AI and Blockchain) with Shenzhen Cloud Computing Pte Ltd dated **January 15, 2024**; Supplier Agreements (AI and Blockchain) with Guo Yan dated **February 26, 2024**. The customer contracts predate the supply contracts by six weeks.

The customers. FY2025 concentration note: Customer A 51% of revenue / 61% of receivables; Customers A–D together **96% of revenue and 100% of receivables**. H1 FY2026: two customers = 81% of revenue. The prospectus names the fintech clients: **"Shenzhen Cloud Computing Pte Ltd." (abbreviated "CAI")** — a Shenzhen name carrying a Singapore corporate suffix and a non-matching acronym — plus Jiangxi Muhe Business Services, Jiangxi Zongjia Haotian Technology, and Peiyu (Shenzhen) Technology. ~96% of FY2025 revenue was CNY-denominated; the company's principal tax charge is **PRC withholding tax** (US\$309,649 in FY2025) while its Macau subsidiaries accumulate tax losses (US\$969,444 of NOLs, fully reserved) — a nine-person Macau company whose economics sit almost entirely in cross-border billings to a handful of PRC-named entities.

The product economics. The blockchain system cost US\$212,008 (July 2025); lifetime blockchain revenue across three periods totals US\$82,079, including zero in H1 FY2026. The prospectus states the company "has not historically incurred significant expenditures on in-house research and development." And the December 2025 model upgrade is disclosed at **US\$192,735 (MOP 1,545,000)** in the 20-F but **US\$701,835 (MOP 5,665,000)** in the interim 6-K seven months later — same upgrade, 3.7× apart, no reconciliation.

Post-IPO Governance Timeline

Date	Event
Sep 9–10, 2025	IPO priced/closed at US\$4.00; first-day close US\$3.69 (–7.8%)
Oct 8, 2025	Over-allotment closed (+US\$0.9M)
Oct 24, 2025	Auditor WWC, P.C. dismissed six weeks post-IPO ; Malaysia-based WSJ & Partners appointed; no reason stated, no disagreements claimed (6-K Nov 12, 2025)
Dec 19, 2025	EGM: authorized capital 50M → 1.02B shares ; CEO-and-affiliate block of 6,367,680 shares → Class B @ 50 votes/share (~98.3% of aggregate votes); reverse split 2:1–20:1 pre-authorized , board's sole discretion, valid 5 years (6-K Jan 5, 2026)
Jan 20, 2026	FY2025 20-F filed: net income US\$1.0M, operating cash flow –US\$3.66M
Mar 23–24, 2026	Six insider Forms 3 filed — initial ownership statements, 6+ months after listing
Apr 14, 2026	Ticker changed ZGM → ZTG ; no reason stated (6-K Apr 14, 2026)
Aug 7, 2026	"No news" 6-K : company aware of no undisclosed material information behind the "unusual market action... up to and including August 6, 2026"
Aug 14, 2026	H1 FY2026 interims (period ended March 31 — released 4.5 months late in practical terms): revenue –40.4%, net loss US\$777,940

The August 2026 Price Event

From daily market data (Yahoo Finance/TradingView/stockanalysis.com), on a ~4.08M-share float with no analyst coverage and 0.73% short interest:

- Drift: US\$3.69 (Sep 2025) → ~US\$1.09 intraday (Apr 7, 2026).
- **Jun 8–10, 2026**: volume spiked to 12.4M shares (vs typical <50K), intraday high US\$4.43, then –25.6% — no filing or news accompanied it.
- **Jul 29 – Aug 12, 2026**: US\$2.72 → +24.6% → +29.8% → (Aug 6) **+47.8% to US\$10.05** → all-time high **US\$12.25 on Aug 12** — cumulatively ~**+350% in ten sessions on no disclosed news**. The company's own August 7 6-K, signed by the CEO, states it knows of no information explaining the move.

- **Aug 17–21, 2026:** **–66.7%, –40.7%, –32.9%** on successive heavy-volume days; intraday US\$0.75 on Aug 20. Peak-to-trough **–92% in six sessions**, again with no accompanying disclosure. Close Aug 25: US\$1.02.

We found **no evidence identifying who traded or why**, and no promotion campaign tied to ZTG (see below). What the record does establish is the *shape*: a sub-US\$50M-float China-region microcap, a parabolic no-news rise the issuer itself disclaimed, and a near-total retracement inside two weeks — the profile at the center of the current wave of pump-and-dump securities litigation. The two sub-US\$1.00 closes since (Aug 21, Aug 24) start no Nasdaq clock yet, but a 30-consecutive-day bid-price deficiency is now a live mechanical risk — against a reverse-split authorization the board has held since December.

What We Did Not Find (Thesis-Tempering)

Reported in full because it cuts **against** the short archetype:

- **No insider cash-out at the IPO:** the offering was 100% primary; no selling shareholders, no concurrent resale registration, and **no pre-IPO dividends** (filings affirmatively state none, FY2023–FY2025) — the DLXY-style extraction arithmetic does not apply here.
 - **No going-concern language** in either auditor's opinion or management's discussion, despite US\$159K of cash at 3/31/2026.
 - **No litigation, SEC enforcement, trading halt, Nasdaq deficiency notice, or law-firm investor alert** naming Zenta/ZTG was located as of August 26, 2026 — though the crash is one week old and filings could still emerge.
 - **No direct promotion evidence** — no named Telegram/WhatsApp/boiler-room campaign, no paid-newsletter trail — the pump characterization above is pattern inference, and is labeled as such.
 - **Receivables were collected:** the 20-F states all four concentration-customers' balances had been collected by the report date; AR actually *fell* in FY2025.
 - The auditor change was disclosed on time, with WWC's Exhibit 16.1 letter concurring that there were no disagreements.
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Catalysts

Catalyst	Window	Mechanics
Bid-price deficiency	30 consecutive closes < US\$1.00; two so far	Deficiency letter → cure period → the pre-authorized 2:1–20:1 reverse split
Reverse split	Any time to Dec 2030	Board sole discretion; 1.02B authorized shares vs 11.8M out; 50:1 dual class makes dilution costless to control
Cash exhaustion	Now	US\$159K cash (3/31/26) vs US\$1.14M half-year operating outflow; liquidity language leans on "support from related parties"
Dilutive raise	Any time	No shelf yet on file; any F-3/424 filing is the tell
ZentoAI acquisition	Unknown	US\$1.02M CEO-side deposit for an unnamed target; a completed related-party acquisition would be the next disclosure event
Prepaid write-down	FY2026 audit (first full year under the new Malaysia-based auditor)	US\$4.1M of unnamed-counterparty prepaids vs US\$12M market cap
Litigation/regulatory follow-through	Weeks–months	Post-crash securities-suit and regulatory attention typical of the August 2026 pattern cohort

Why This Is Not Rated

At US\$1.02 versus US\$12.25 two weeks ago, ~92% of the collapse is already realized, and the residual short case competes with brutal mechanics: a ~4M-share float that has already shown +350% ten-session moves, likely punitive or absent borrow, no options, and a standing reverse-split authorization that can reset the share count at any moment under ~98% insider voting control. The benign reading also exists and deserves statement: a young company that raised a modest primary round, sold no insider shares, paid no pre-IPO dividends, collected its receivables, filed on time, and answered an unexplained spike with a prompt "no news" statement; concentrated customer/supplier books are common in early-stage B2B intermediation; and nothing in the record ties the company or its insiders to the August trading. For most participants the actionable output of this report is **avoidance** — of the equity, of any post-split re-promotion cycle, and of any related-party acquisition re-rating narrative — not a short position.

Conclusion

Applying our forensic checklist to Zenta Group produces a different archetype than the classic insider-exit IPO: here the public's money went **in** — and then, in our view, the record shows it going **out the side doors within weeks**: ~90% of net proceeds deployed inside ~25 days, overwhelmingly into multi-year prepaid "marketing and consultancy" contracts with counterparties the filings never name, plus a seven-figure good-faith deposit to the CEO's own private entity for an acquisition the filings never describe. Around that core sit the checklist's familiar accumulation: ~5.75% of the company promised to unnamed consultants on the eve of effectiveness; a business whose entire revenue base is four PRC-named customers routed through one supplier whose products the company first resold, then bought; client contracts dated before supplier contracts; a 3.7× unreconciled discrepancy in the cost of the company's core intangible; an auditor swapped six weeks after listing; a 50-vote dual-class recap and five-year reverse-split authority armed 3.5 months after the IPO; and, eleven months in, a +350%/−92% no-news round trip that the issuer itself formally declined to explain.

Set against that: no insider selling, no pre-IPO dividends, no litigation, no promotion trail, collected receivables, on-time filings. In our view the record supports the conclusion that **ZTG's public listing has so far functioned as a funding and control structure, not an operating story** — a pattern judgment about disclosed economics, not an allegation of unlawful conduct. The checklist item that would have flagged this pre-IPO, in one line: when a nine-employee company's F-1 discloses that 5.75% of its equity is going to consultants it will not name, for services it cannot specify, the offering's center of gravity is, in our view, self-describing.

All source documents: SEC EDGAR, CIK 2011458 (424B4 acc. 0001493152-25-012859; 20-F acc. 0001493152-26-002776; 6-Ks of Sep 11 & Oct 9 & Nov 12, 2025, Jan 5, Apr 14, Aug 7, Aug 14, 2026); market data via Yahoo Finance, Nasdaq.com, TradingView, and stockanalysis.com as of August 25, 2026.

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